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Report Name: Oilseeds and Products Annual

Country: Philippines

Post: Manila

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Report Highlights:

The Philippines is the largest market for U.S. soybean meal (SBM) and a top coconut oil exporter. The country is also a major palm oil market for neighboring ASEAN countries. The loosening of COVID-related restrictions and the corresponding economic rebound are expected to support greater demand for soybean meal. Post forecasts Market Year (MY) 2022/23 SBM imports to grow 3 percent to 2.725 million metric tons (MT). Typhoon Rai (local name Odette) reached the Philippines in December 2021 and damaged coconut trees, resulting in Post forecasting declines in MY 2022/23 for copra and coconut oil production and exports. Meanwhile, the continuing conflict in Ukraine is expected to push palm oil prices up and constrain imports.

Executive Summary:

FAS Manila forecasts soybean imports at 210,000 MT for MY 2022/23, up 5,000 MT from Post's revised estimate for the previous period. Meanwhile, MY 2021/22 and 2020/21 are revised up 30,000 MT due to a new methodology that incorporates Argentine port data. Likewise, soybean meal imports are forecast at 2.725 million MT, up 3 percent from the previous year. Soybean oil imports in MY 2022/23 are forecast at 60,000 MT, flat from the previous year. Soybean and soybean meal imports are expected to benefit from the further opening of the economy and the expected recovery of the livestock and poultry industries.

Post forecasts MY 2022/23 copra production at almost 2.6 million MT, slightly down from the previous year's level. Copra meal production in MY 2022/23 is expected to reach 840,000 MT, down nearly 3 percent from the previous year. Coconut oil production in MY 2022/23 is forecast at 1.65 million MT, down 1 percent from the prior year. All copra products will slightly decline owing to the damage sustained from Typhoon Rai (local name Odette) on December 17, 2021 which damaged 26 million coconut trees.

Palm oil imports in MY 2022/23 are forecast at 1.1 million MT, 100,000 MT lower than the previous year. The continuing conflict in Ukraine will elevate palm oil prices and constrain exports to the Philippines.

**Table 1: Soybean Meal Equivalent Consumption
In 1,000 Metric Tons**

	2020/2021	2021/2022	2022/2023
Commodity	New Post	New Post	New Post
Soybean	50	55	60
x SME factor	0.8	0.8	0.8
Soybean SME	40	44	48
SBM	2,780	2,789	2,810
Copra Meal	535	570	570
x SME factor	0.4515	0.4515	0.4515
Copra Meal SME	242	258	258
Palm Kernel Meal	16	16	16
x SME factor	0.36	0.36	0.36
Palm Kernel Meal SME	6	6	6
Total SME	3,068	3,097	3,122

Oilseeds:

Production, Supply, and Distribution Data:

Table 2

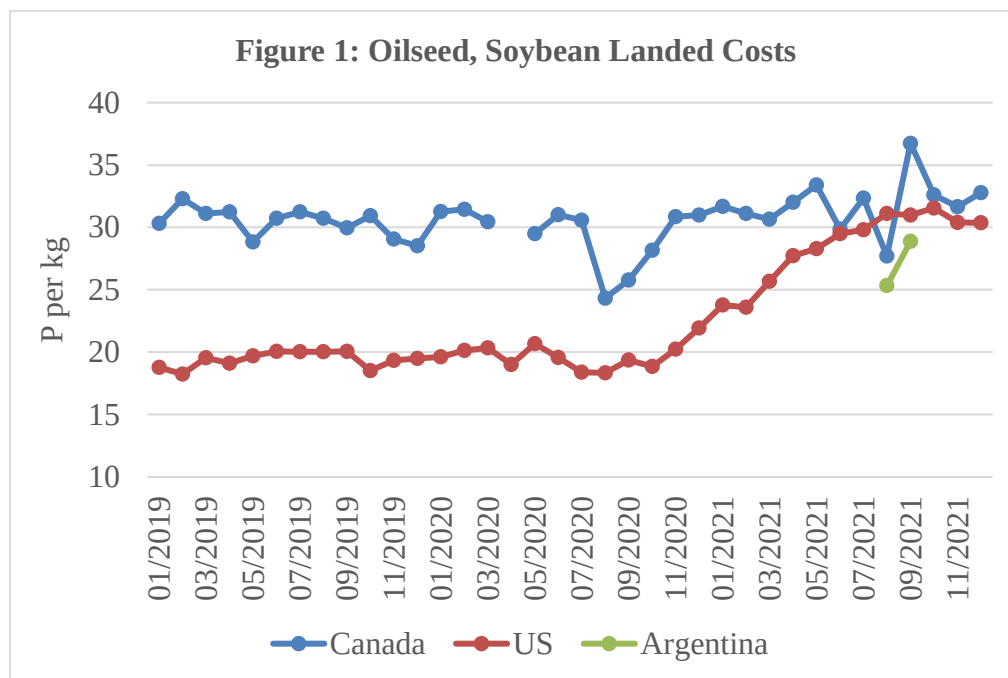
Oilseed, Soybean Market Year Begins Philippines	2020/2021		2021/2022		2022/2023	
	Jan 2021		Jan 2022		Jan 2023	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	1	1	1	1	0	1
Beginning Stocks (1000 MT)	42	42	28	38	0	29
Production (1000 MT)	1	1	1	1	0	1
MY Imports (1000 MT)	170	205	175	205	0	210
Total Supply (1000 MT)	213	248	204	244	0	240
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	110	110	100	110	0	110
Food Use Dom. Cons. (1000 MT)	25	50	25	50	0	55
Feed Waste Dom. Cons. (1000 MT)	50	50	55	55	0	60
Total Domestic Cons. (1000 MT)	185	210	180	215	0	225
Ending Stocks (1000 MT)	28	38	24	24	0	15
Total Distribution (1000 MT)	213	248	204	244	0	240
Yield (MT/HA)	1	1	1	1	0	1
(1000 HA), (1000 MT), (MT/HA)						

Production:

The Philippines produces a minimal amount of soybeans, which for MY 2022/23 Post forecasts flat at 1,000 MT.

Consumption:

FAS Manila forecasts MY 2023/23 soybean food use at 55,000 MT, slightly higher than Post's updated level for MY 2021/22. Food demand is expected to grow as the economy fully recovers from the pandemic by early 2023. The MY 2022/23 forecast is 30,000 MT higher than USDA Official due to an updated methodology for calculating imports that lifted the total. Feed consumption is also expected to rise modestly in MY 2022/23, following slow growth in hog feed demand as the country continues to grapple with the challenges of African Swine Fever.



Source: Trade Data Monitor, LLC

Trade:

FAS Manila forecasts MY 2022/23 soybean imports at 210,000 MT, up 5,000 MT compared to Post's revised amount for the previous period due to increasing demand as the economy continues to reopen from stringent COVID-related restrictions.

Soybean imports for MY 2020/21 were updated to 205,000 MT to reflect full trade data using a new methodology that incorporates [Argentine port loading data](#). This has the effect of raising subsequent marketing years from the current USDA Official with a larger share of Argentine soybean exports.

Table 3: Soybean Exports to the Philippines			
Metric Tons			
Countries	MY 2018/19	MY 2019/20	MY 2020/21
World	156,182	170,958	205,021
United States	139,394	149,838	132,222
Argentina	7,330	13,878	55,196
Canada	8,987	6,720	7,210
China	471	519	352
Others	0	4	10,040

Source: Trade Data Monitor, LLC and Argentina Customs

Note: Brazil exported 10,010 MT soybeans to the Philippines in MY 2020/21

Stocks:

FAS Manila forecasts ending stocks for MY 2022/23 at 15,000 MT, down 9,000 MT from the MY 2021/22 USDA Official amount. Soybean inventories are largely held by processors.

Policy:

It has been the policy of the Philippine government to facilitate the importation of soybeans into the country since they are not produced locally in significant volumes. Soybean (HS Code 12.01) duties remain at 1 percent. As with any imported plant or plant product that has a genetically engineered product commercialized, soybean shipments require a declaration of GMO content. The statement can be signed by a responsible officer from the originating country, an accredited laboratory, the shipper, or the importer. For more information, please see the latest [Agricultural Biotechnology Annual Report](#).

Oilseed, Copra**Production, Supply, and Distribution Data:****Table 4**

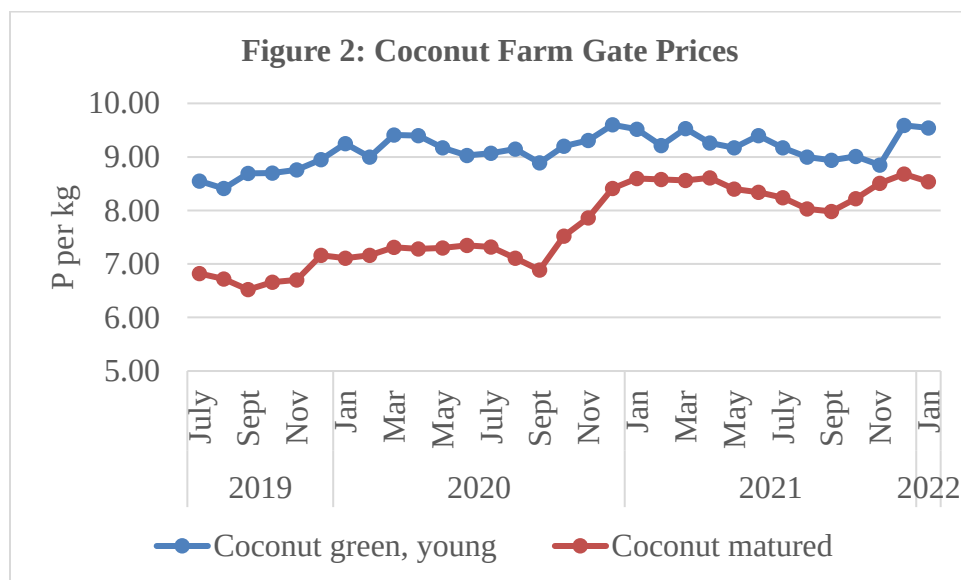
Oilseed, Copra Market Year Begins	2020/2021		2021/2022		2022/2023	
	Oct 2020		Oct 2021		Oct 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Philippines						
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	3500	3500	3500	3475	0	3475
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	6	6	6	6	0	6
Production (1000 MT)	2400	2400	2600	2575	0	2575
MY Imports (1000 MT)	39	39	50	50	0	50
Total Supply (1000 MT)	2445	2445	2656	2631	0	2631
MY Exports (1000 MT)	0	0	0	0	0	0
Crush (1000 MT)	2439	2439	2650	2625	0	2625
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	2439	2439	2650	2625	0	2625
Ending Stocks (1000 MT)	6	6	6	6	0	6
Total Distribution (1000 MT)	2445	2445	2656	2631	0	2631
Yield (MT/HA)	0.6857	0.6857	0.7429	0.7410	0	0.7410
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						

Production:

The Philippines is a major coconut producer whose output is challenged by approximately 20 typhoons that enter the country each year. FAS Manila forecasts MY 2022/23 copra production at 2.575 million MT, down 25,000 MT from the previous year's USDA official. Industry contacts report that the negative effects from Super Typhoon Rai (local name Odette) is about 1 percent for MY 2021/22 and flat for MY 2022/23. According to the Philippine Coconut Authority, as of December 30, 2021, 26.032 million coconut palms were damaged during the typhoon of which 12.078 million (46.4 percent) were totally damaged or beyond recovery; 6.369 million (24.5 percent) moderately damaged; and 7.585 million (29.1 percent) heavily damaged. This covered regions IV (Palawan), VI (Western Visayas), VII (Central Visayas), VIII (Eastern Visayas), and XIII (CARAGA). Moderately damaged palms lose about 30 percent of mature nuts due to nut fall and may recover after six months at the earliest while heavily damaged palms have about 50 percent immature nut fall and may recover after two to three years.

Consumption:

Coconut consumption has been increasing in line with the increasing population. Figure 2 shows the increasing trend of mature coconuts and green coconuts, implying that demand is outstripping supply.



Source: Philippine Statistics Authority

Trade:

FAS Manila forecasts MY 2022/23 copra imports at 50,000 MT, flat from the previous year's level. Coconut imports are used by two crushers in Dumaguete City and General Santos City. Industry sources say that price is the primary consideration for importation. Sources of coconut imports include Papua New Guinea, Vanuatu, and the Solomon Islands.

Stocks:

FAS Manila expects ending stocks to remain unchanged at 6,000 MT for MY 2022/23. Coconuts are not stocked for a long time as they are processed immediately. The normal stocks-to-use ratio is two months.

Policy:

On February 26, 2021, Philippine President Rodrigo Duterte signed into law Republic Act 115421 or the Coconut Farmers and Industry Trust Fund Act. The law declares the coconut levy assets as a trust fund to rehabilitate and modernize the country's coconut industry. The fund is estimated to be worth P93 billion (\$1.86 billion) as of the moment, according to the Presidential Commission on Good Government. However, the fund is not yet released pending the final approval of the Coconut Farmers and Industry Development Plan, which is still awaiting approval from the Department of Finance and the Department of Budget and Management (after getting the endorsement of the National Economic and Development Authority and Department of Trade and Industry). It will then be submitted to the president for approval, which would then allow for disbursements of portions of the coconut trust fund.

According to law, at least P5 billion (\$100 million) of the trust fund must be disbursed every year for the benefit of farmers. Out of the P5 billion (\$100 million) initial allocation, around P835 million (\$16.7 million) can be used for rehabilitation and social protection to prescribed regions. This can include farm improvement, native livestock to be given away to farmers, dairy program, and crop insurance. The law stipulates that specific percentages be allocated for specific initiatives each year, as follows:

- Development of hybrid coconut seed farms and nursery for planting and replanting – 20%
- Training of farmers and their families on coconut production and technologies – 8%
- Research, marketing, and promotion – 5%
- Crop insurance – 4%
- Farm improvements through diversification or intercropping – 10%
- Shared facilities for processing – 10%
- Organizing and empowerment of coconut farmer organizations and their cooperatives – 5%
- Credit programs – 10%
- Infrastructure development in coconut producing local governments – 10%
- Scholarship program for farmers and their families – 8%
- Health and medical program for farmers and their families – 10%

Meals:**Meal, Soybean****Production, Supply, and Distribution Data:****Table 5**

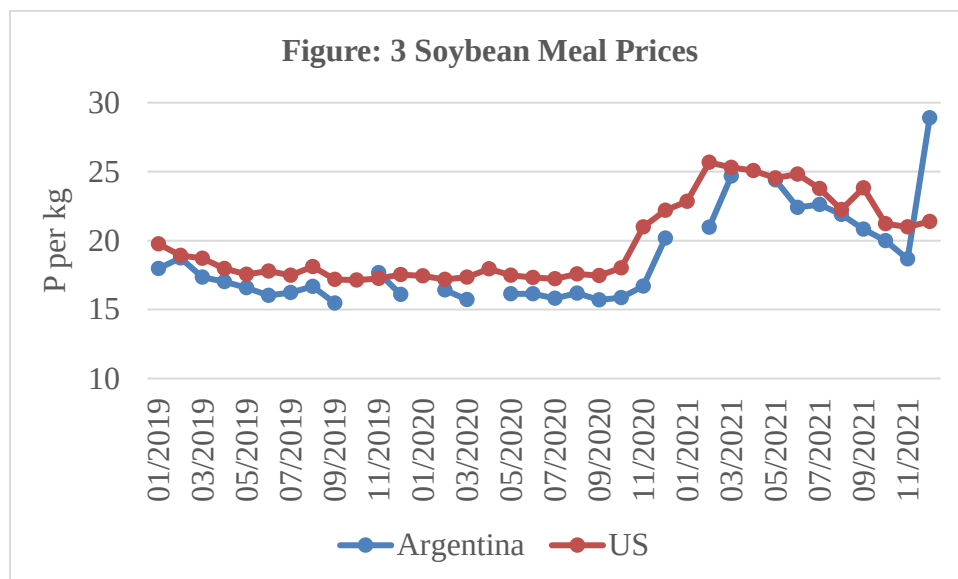
Meal, Soybean Market Year Begins Philippines	2020/2021		2021/2022		2022/2023	
	Jan 2021		Jan 2022		Jan 2023	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	110	110	100	100	0	110
Extr. Rate, 999.9999 (PERCENT)	0.7818	0.7818	0.78	0.78	0	0.77
Beginning Stocks (1000 MT)	255	255	268	287	0	226
Production (1000 MT)	86	86	78	78	0	85
MY Imports (1000 MT)	2707	2726	2650	2650	0	2725
Total Supply (1000 MT)	3048	3067	2996	3015	0	3036
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	2780	2780	2770	2789	0	2810
Total Dom. Cons. (1000 MT)	2780	2780	2770	2789	0	2810
Ending Stocks (1000 MT)	268	287	226	226	0	226
Total Distribution (1000 MT)	3048	3067	2996	3015	0	3036
(1000 MT), (PERCENT)						

Production:

FAS Manila raises soybean meal production to 85,000 MT in MY 2022/23, up from 78,000 MT the previous year because of the expected gradual recovery of the pig industry from the African Swine Fever (ASF). Poultry production is also forecast to increase in the following year, as the economy reopens following strict COVID-related restrictions.

Consumption:

Feed consumption in MY 2022/23 is set at 2.10 million MT, up 1.4 percent from the previous year's level. Hog and poultry feed demand is expected to increase as both sectors aim for greater production in MY 2022/23. Consumption in MY 2021/22 was raised 19,000 MT from USDA Official based on stronger than expected broiler production.



Source: Trade Data Monitor, LLC

Trade

Post forecasts MY 2022/23 soybean meal imports to reach 2.725 million MT, up about 3 percent from the previous year due to stronger hog and poultry feed demand. Imports for MY 2020/21 were adjusted upward to 2.73 million MT with full year trade data, which incorporates Argentina port data.

Although the United States remains the largest supplier of soybean meal to the Philippines, and the Philippines is the largest market for U.S. soybean meal, U.S. exports declined in MY 2020/21. One factor was a damaged unloader at a key location in the Pacific Northwest that supplies soybean meal to the Philippines. This was reported in September 2021 and still continues to the present, although the situation in March 2022 shows improvement with 65 percent of capacity now being utilized. Industry expects the problem to be fully resolved by June 2022, while the affected company plans to install back-up equipment to prevent a repeat of the problem in the future.

Table 6: Soybean Meal Exports to the Philippines			
Metric Tons			
Countries	MY 2018/19	MY 2019/20	MY 2020/21
World	2,897,738	2,791,124	2,725,584
United States	2,136,033	2,429,876	2,128,071
Argentina	754,884	355,325	560,042
Brazil	3,055	4,082	18,233
Others	3,765	1,841	19,238

Source: Trade Data Monitor, LLC and Argentina Customs

Note: Indonesia exported 9,163 MT and Malaysia exported 8,871 MT in MY 2020/21

Stocks:

FAS Manila forecasts ending stocks at 226,000 MT for MY 2022/23, flat compared to the previous year's level. Stocks are privately held by traders and processors.

Policy:

Soybean meal (HS code: 120810) is levied a 3 percent Most Favored Nation (MFN) tariff. See the policy section for soybeans for additional policy details.

Meal, Copra**Production, Supply, and Distribution Data:****Table 7**

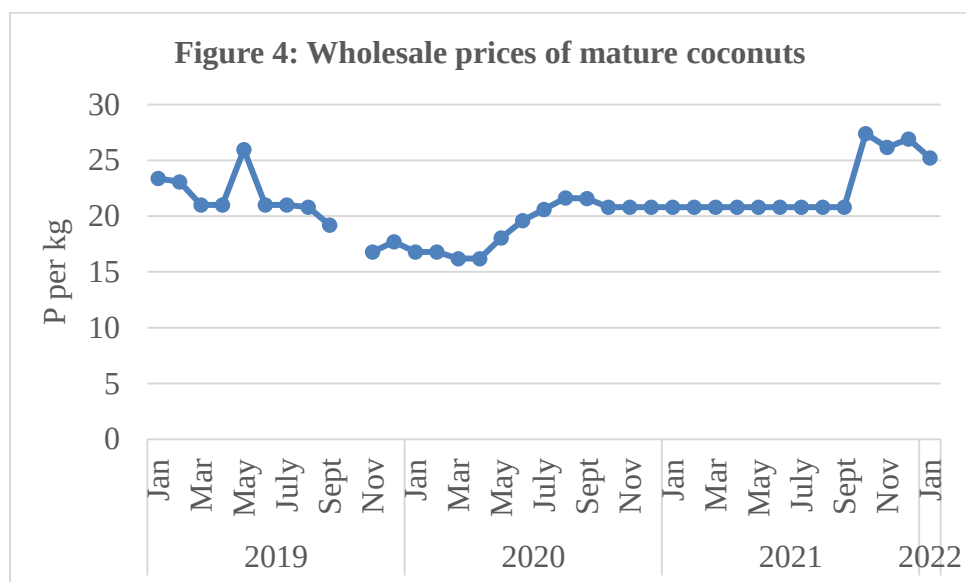
Meal, Copra Market Year Begins Philippines	2020/2021		2021/2022		2022/2023	
	Oct 2020		Oct 2021		Oct 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2439	2439	2650	2625	0	2625
Extr. Rate, 999.9999 (PERCENT)	0.328	0.328	0.3264	0.3238	0	0.32
Beginning Stocks (1000 MT)	95	95	75	67	0	62
Production (1000 MT)	800	800	865	850	0	840
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	895	895	940	925	0	910
MY Exports (1000 MT)	285	293	285	285	0	270
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	535	535	580	570	0	570
Total Dom. Cons. (1000 MT)	535	535	580	570	0	570
Ending Stocks (1000 MT)	75	67	75	62	0	62
Total Distribution (1000 MT)	895	895	940	925	0	910
(1000 MT), (PERCENT)						

Production:

FAS Manila forecasts MY 2022/23 copra meal production at 840,000 MT, 25,000 MT lower than the previous year's level because of the damage brought by Typhoon Odette. Post likewise lowers MY 2021/22 production from 865,000 MT to 850,000 MT to account for typhoon damages.

Consumption:

Post forecasts MY 2022/23 feed consumption at 570,000 MT, down 10,000 MT from the previous year. Consumption is expected to decline because of supply problem due to Typhoon Odette. Feed consumption for MY 2021/22 was also lowered to 570,000 MT because of the typhoon impacts.



Source: Philippine Statistics Authority

Trade:

For MY 2022/23, Post forecasts copra meal exports to reach 270,000 MT, 5 percent lower than the previous year because of typhoon damages to production. Post revised MY 2020/21 exports up 8,000 MT to 293,000 MT based on final full-year data.

Table 8: Philippine Copra Meal Exports			
Metric Tons			
Countries	MY 2018/19	MY 2019/20	MY 2020/21
World	367,720	210,343	292,579
South Korea	84,988	20,840	80,712
Vietnam	70,207	40,687	23,896
Taiwan	9,403	10,625	6,891
China	39,950	14,657	54,706
India	145,773	122,123	118,252
Others	17,399	1,408	8,123

Source: Trade Data Monitor, LLC

Stocks:

FAS Manila forecasts MY 2022/23 ending stocks at 62,000 MT, flat with the revised stocks number for MY 2021/22. Both years are expected to have slightly lower inventories due to reduced production because of Typhoon Odette-related damages. MY 2020/21 ending stocks are revised down by 8,000 MT to account for slightly larger reported copra exports. Copra meal stocks are held by private traders, oil millers, and feed millers.

Policy:

Copra meal is levied a 10 percent tariff under MFN and the ASEAN Trade in Good Agreement (ATIGA).

Oils:**Oils Soybean****Production, Supply, and Distribution Data:****Table 9**

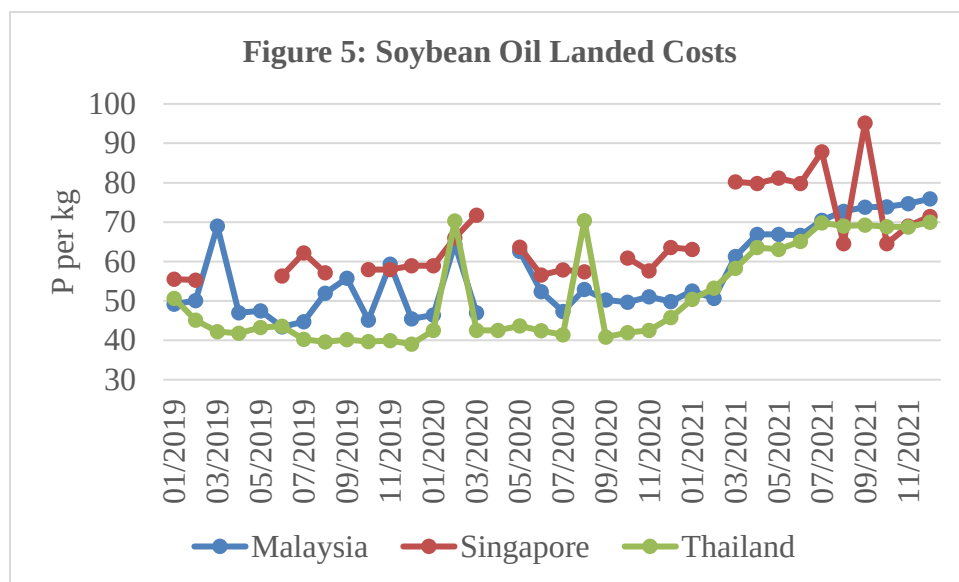
Oil, Soybean Market Year Begins Philippines	2020/2021		2021/2022		2022/2023	
	Jan 2021		Jan 2022		Jan 2022	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	110	110	100	110	0	110
Extr. Rate, 999.9999 (PERCENT)	0.1818	0.1818	0.18	0.1636	0	0.1818
Beginning Stocks (1000 MT)	6	6	5	5	0	5
Production (1000 MT)	20	20	18	18	0	20
MY Imports (1000 MT)	57	57	60	60	0	60
Total Supply (1000 MT)	83	83	83	83	0	85
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	4	4	4	4	0	4
Food Use Dom. Cons. (1000 MT)	74	74	74	74	0	76
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	78	78	78	78	0	80
Ending Stocks (1000 MT)	5	5	5	5	0	5
Total Distribution (1000 MT)	83	83	83	83	0	85
(1000 MT), (PERCENT)						

Production:

FAS Manila forecasts soybean oil production at 20,000 MT for MY 2022/23, slightly up from the previous year's level, because of the expected increased demand from the economy reopening.

Consumption:

Food use consumption in MY 2022/23 is forecast at 76,000 MT, up 3 percent from the previous year's level, in line with the increase in production.



Source: Trade Data Monitor, LLC

Trade:

FAS Manila forecasts soybean oil imports at 60,000 MT in MY 2022/23, flat from the previous year. Soybean oil is the least preferred oil by Philippine consumers, compared to palm oil and coconut oil.

Table 10: Soybean Oil Exports to the Philippines			
Metric Tons			
Countries	MY 2018/19	MY 2019/20	MY 2020/21
World	61,547	55,413	57,112
Thailand	30,675	26,177	27,572
Malaysia	29,763	26,872	27,094
Others	1,108	2,364	2,447

Source: Trade Data Monitor, LLC

Stocks:

FAS Manila forecasts MY 2022/23 ending stocks of soybean oil at 5,000 MT, flat compared to previous years. Stocks are mostly held by processors.

Policy:

Soybean oil is levied a 10 percent tariff under MFN and 0 percent under ATIGA.

Oil, Coconut**Production, Supply, and Distribution Data:****Table 11**

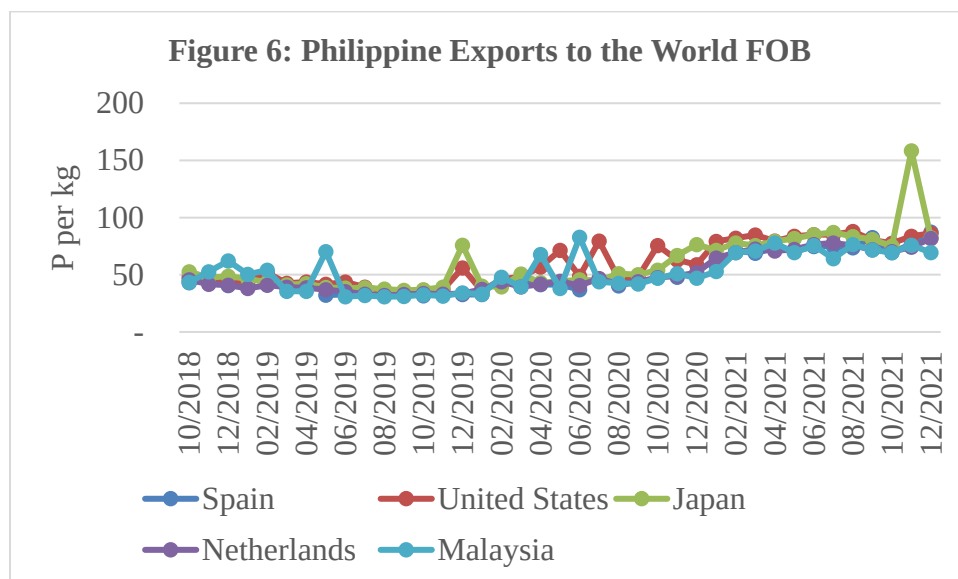
Oil, Coconut Market Year Begins	2020/2021		2021/2022		2022/2023	
	Oct 2020		Oct 2021		Oct 2022	
Philippines	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2439	2439	2650	2625	0	2625
Extr. Rate, 999.99 (PERCENT)	0.6322	0.6322	0.6294	0.6354	0	0.6286
Beginning Stocks (1000 MT)	68	68	65	65	0	83
Production (1000 MT)	1542	1542	1668	1668	0	1650
MY Imports (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	1610	1610	1733	1733	0	1733
MY Exports (1000 MT)	880	880	950	950	0	940
Industrial Dom. Cons. (1000 MT)	440	440	470	470	0	480
Food Use Dom. Cons. (1000 MT)	215	215	220	220	0	225
Feed Waste Dom. Cons. (1000 MT)	10	10	10	10	0	15
Total Dom. Cons. (1000 MT)	665	665	700	700	0	720
Ending Stocks (1000 MT)	65	65	83	83	0	73
Total Distribution (1000 MT)	1610	1610	1733	1733	0	1733
(1000 MT), (PERCENT)						

Production:

Coconut oil is a major commodity in the Philippines and the country is one of the world's top exporters. For MY 2022/23, FAS Manila forecasts coconut oil production at 1.65 million MT, a 1 percent drop from the previous year's level due to the damages from Typhoon Odette.

Consumption:

FAS Manila forecasts MY 2022/23 industrial, food use, and feed waste consumption to slightly increase because of the country's reopening from COVID-related restrictions. Moreover, the findings by the Department of Science and Technology about the antiviral properties of [virgin coconut oil \(VCO\) against COVID-19](#), may further increase consumption.



Source: Philippine Statistics Authority

Trade:

Post forecasts MY 2022/23 coconut oil exports to reach 930,000 MT, a two percent drop from the previous year, because of reduced production following Typhoon Odette damages to coconut trees in December 2021.

According to the United Coconut Association of the Philippines, virgin coconut oil (HS code: 1513110001) exports in 2021 reached 115,000 MT, while the association forecasts 2022 exports at 123,000 MT.

Table 12: Philippine Coconut Oil Exports			
Metric Tons			
Countries	MY 2018/19	MY2019/20	MY 2020/21
Total	1,175,201	944,196	788,777
Netherlands	505,873	406,147	269,514
United States	372,366	232,784	160,258
Malaysia	71,266	97,071	66,738
China	52,159	58,782	41,551
Indonesia	41,453	30,520	55,182
Spain	51,670	36,469	37,965
Japan	32,126	22,422	33,863
Others	48,288	60,001	123,706

Source: Trade Data Monitor, LLC

Stocks:

FAS Manila forecasts ending stocks to be at 83,000 MT for MY 2022/23, flat from the previous year. Stocks are held by private companies such as oil millers and industrial users.

Policy:

Philippine biodiesel is derived from coconut oil and blended with petroleum diesel to comply with the country's Biofuels Act and National Biofuels Program. In compliance with the law, a 1 percent biodiesel blend (B1) was implemented in 2007, followed by B2 mandated in 2009. The mandated blend remains at B2, with higher targets not yet being met. For more details about coconut oil and Philippine biofuels, please see the [Biofuels Annual Report](#).

Oil, Palm

Production, Supply, and Distribution Data:

Table 13

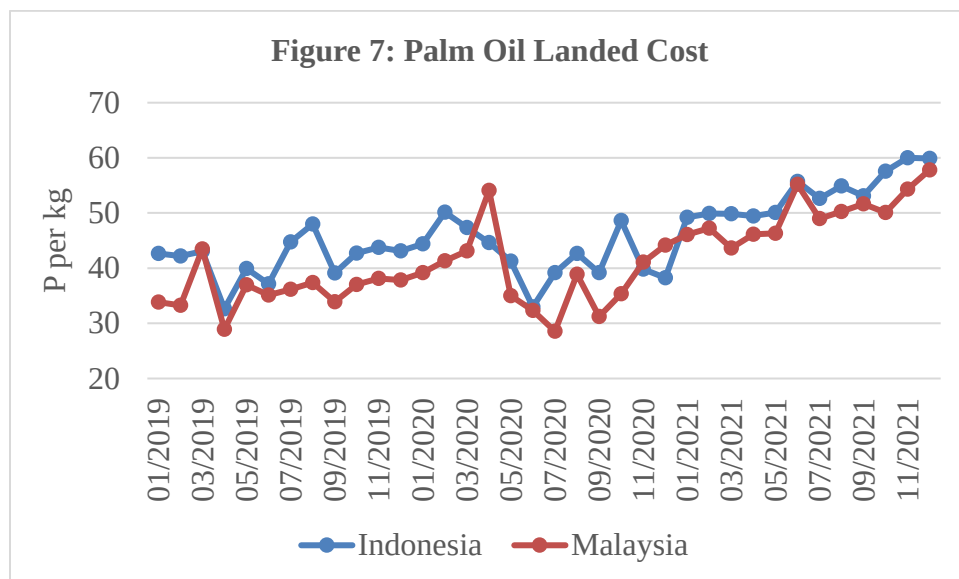
Oil, Palm Market Year Begins Philippines	2020/2021		2021/2022		2022/2023	
	Jan 2021		Jan 2022		Jan 2023	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	62	62	62	62	0	62
Trees (1000 TREES)	0	0	0	0	0	0
Beg. Stocks (1000 MT)	101	101	109	109	0	129
Production (1000 MT)	90	90	90	90	0	90
MY Imports (1000 MT)	1160	1160	1200	1100	0	1100
Total Supply (1000 MT)	1351	1351	1399	1299	0	1319
MY Exports (1000 MT)	32	32	30	30	0	30
Industrial Dom. Cons. (1000 MT)	190	190	200	150	0	150
Food Use Dom. Cons. (1000 MT)	1020	1020	1040	990	0	1010
Feed Waste. Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Domestic Cons. (1000 MT)	1210	1210	1240	1140	0	1160
Ending Stocks (1000 MT)	109	109	129	129	0	129
Total Distribution (1000 MT)	1351	1351	1399	1299	0	1319
Yield (MT/HA)	1.4516	1.4516	1.4516	1.4516	0	1.4516
(1000 HA), (1000 TREES), (1000 MT), (MT/HA)						

Production:

There is limited production of palm oil in the Philippines, which is located in Palawan, Bohol, and Mindanao. FAS Manila forecasts MY 2022/23 production at 90,000 MT, flat from the previous year because of no expansion in the sector.

Consumption:

FAS Manila forecasts MY 2022/23 food use consumption to be 1.02 million MT, 20,000 MT lower than the previous year, due to rising prices in connection to the Ukraine conflict. Palm oil generally is a cheaper alternative to coconut oil, which supports greater consumption. MY 2021/22 consumption is also lowered from USDA Official due to higher cooking oil prices. Post forecasts MY 2022/23 industrial consumption at 150,000 MT, a 25 percent decline from the previous year's USDA Official but flat compared to Post's new estimate for MY 2021/22.



Source: Trade Data Monitor, LLC

Trade:

FAS Manila forecasts MY 2022/23 palm oil imports at 1.1 million MT, 100,000 MT lower than the prior year, because of elevated prices from the Ukraine conflict. Similarly, Post also lowers MY 2021/22 palm oil imports to 1.1 million MT.

Table 14: Palm Oil Exports to the Philippines			
Metric Tons			
Country	MY 2018/19	MY 2019/20	MY 2020/21
Total	1,042,364	1,106,991	1,168,117
Indonesia	421,780	432,703	591,373
Malaysia	619,902	673,487	576,509
Others	681	801	234

Source: Trade Data Monitor LLC

Stocks:

FAS Manila forecasts MY 2022/23 ending stocks at 109,000 MT, down 10,000 MT from the prior year. Post also lowers MY 2021/22 stocks by the same amount. Stocks are held by private companies such as oil millers and industrial users.

Policy:

The Philippine Coconut Authority is the agency tasked with the development of the Philippine palm oil industry. ATIGA tariff rate for palm oil is 0 percent while the MFN rate is at 15 percent.

Attachments:

No Attachments